

B

18 |

BARELY EIGHT YEARS after Edwin L. Drake drilled the world's first oil well in 1859 at Titusville, Pennsylvania, USA, in 1867, India discovered oil in Digboi, Assam. The find was serendipitous—workers noted that elephants put to work by the London-registered Assam Railways and Trading Company had their feet covered with oil. The men followed the trail to the 'salt lick' to find India's first commercially viable oil reserve. Coincidentally, Drake had used the salt well drilling technique to dig 69.5 feet before hitting the black gold.

Nearly 160 years later, the US is the world's biggest oil and gas producer, while India is an also-ran, living on imports. It has been able to explore only 30% of its available oil and gas resources, which meet around 12% of its crude oil and 50% of its domestic gas requirements. India's domestic oil production is around 700,000 barrels per day (bpd) as against a demand of 5.6 million bpd.

India has 26 sedimentary basins (see *Indian Sedimentary Basin*). Only 30% are under commercial production; most of these fall under the ageing category. About 23% of the reserves are discovered, but no commercial production has started there, while 47% are yet to be discovered. Exploration has been limited to Category I basins—Mumbai offshore, Assam, Rajasthan and Krishna Godavari. The Category II and III basins, including Mahanadi, Andaman Sea Bengal, and Kerala-Konkan, are largely unexplored. These have 22 billion barrels of hydrocarbon potential, says S&P Global Commodity Insights.

The costs—of not drilling enough—can pile

MORE MISSES THAN HITS

● E&P policies over the years have been unable to spur oil and gas production

PRE-NELP

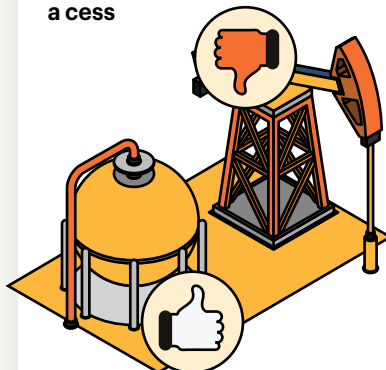
NOMINATION (PRE-1991)

HITS

- ▶ Blocks directly allocated to PSUs. The majority went to Oil and Natural Gas Corporation and Oil India
- ▶ Established infrastructure for exploration and production

MISSES

- ▶ No competition as private and foreign players were excluded
- ▶ Limited investment and adoption of technology
- ▶ Fiscal burden, with the government imposing a cess



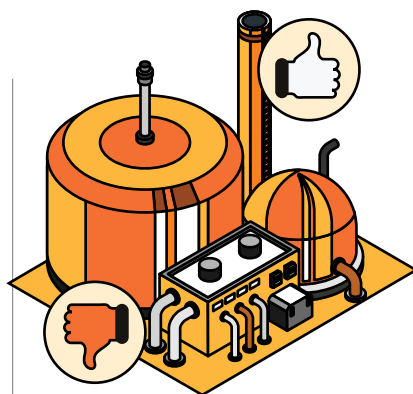
PETROLEUM MINING LICENCE (1992-93)

HITS

- ▶ Licence for commercial production granted after successful exploration

MISSES

- ▶ Contractors had to pay royalty, cess, customs duties
- ▶ Production sharing contract, so bonus payable to ONGC & Oil India



NELP (1999-2016)

HITS

- ▶ Opened the sector to private/foreign firms with 100% FDI. Blocks awarded through international competitive bidding. Cairn was the largest private player
- ▶ Introduced cost recovery before profit sharing with the government
- ▶ Encouraged investments and boosted exploration

MISSES

- ▶ The production sharing contract increased disputes as the government kept a strong hold with requirements for approval at various stages to prevent the contractor from exaggerating the cost
- ▶ This delayed profit sharing and led to litigation over production
- ▶ Retrospective tax imposed in 2012. Cairn was asked to pay ₹10,247 crore. The case led to mistrust among foreign players

HELP (2017)

HITS

- ▶ Revenue sharing mechanism introduced with reduced government control